Ep. 379: Paul Cavey on East Asia's AI Tech Boom, Semiconductor Exports, and Macro Dynamics

Podcast: Macro hive

AI Executive Summary

1. Core Thesis The episode argues that traditional macroeconomic indicators (such as inflation and debt-to-GDP ratios) are being distorted across East Asia by a supply-chain-led productivity shock driven by AI and semiconductor demand, particularly in Taiwan and Korea. While these economies are experiencing unprecedented nominal GDP growth due to export price booms rather than traditional volume cycles, central banks are reacting cautiously or incrementally despite negative real interest rates (Taiwan) or fiscal revenue surpluses (Korea/Japan). The analysis suggests that investors must look beyond standard cycle theory, focusing instead on terms of trade shocks, nominal income growth, and fiscal capacity changes that support corporate profitability without immediate household wage growth.

2. Key Arguments & Data

3. **AI as a Global Macro Catalyst:** AI/semiconductors are not just sectoral stories but key drivers of regional GDP and inflation across Taiwan, Korea, China, and Japan through supply chain integration.
4. **Taiwan (The Volume Story):**
    - **Growth:** Real GDP growth is running at double-digit levels; electronic prices contributing to CPI have risen >20% YoY for the first time in a generation.
    - **Monetary Policy:** Interest rates stuck at ~2% with negative real yields, despite strong credit growth (private lending growing fastest in years). The Central Bank justifies this via money supply growth arguments which are deemed weak by the host.
    - **Fiscal/Currency:** Strong fiscal position (projected debt < 20% of GDP), currency stable at ~30 USD/TWD but fundamentally undervalued relative to productivity gains. Wage growth rising (~3%) due to labor scarcity vs. tech sector productivity gains (Balassa Samuelson effect).
5. **Korea (The Price/Trade Shock):**
    - **Nominal Growth:** Nominal GDP growth projected at ~30% YoY (Q3), driven by terms of trade boom; Real GDP growth only

~4%. Semiconductor exports growing 100% YoY.
    - **Monetary Policy:** BOK actively hiking rates (dot plot indicates two more hikes); currency appreciating to manage inflationary risk.
    - **Fiscal:** Strong nominal income growth is alleviating fiscal strain, allowing for subsidies to keep prices down despite global energy shocks.
6. **Japan (The Distorted Fiscal/Cycle):**
    - **Corporate vs. Household:** Corporate profits at record highs but household consumption weak due to real pension cuts and sales tax increases (deflationary fiscal policy).
    - **Fiscal Health:** Government revenue growing double digits YoY, narrowing central government deficit for the first time in years; Abenomics-style structural reforms occurring without major stimulus.
    - **Monetary/Currency:** BOJ described as "behind the curve"; inflation > 2% consistently missed but real rates need to rise. Yen intervention risk increasing at 160–170 range. Market sentiment shifted from "deflation is fine" to "Japan is a normal economy now."

7. **China (The Dual Track):**

    - **Property:** Real estate starts down 85% from peak; M1/M2 spread narrowing but credit impulse excluding government sector still weak. Zero property starts expected in 2 years.
    - **Monetary/Fiscal:** Policy is incremental (bond issuance stabilizing credit). Yields falling despite rising PPI inflation and deflationary fears mitigating via high savings/low risk aversion.
    - **Tech/Export:** Semiconductor exports now exceeding imports; Tech/AI focus independent of global stacks. Auto sector remains the primary drag on retail sales domestically but dominates exports globally.

8. Actionable Takeaways

9. **Reframe Macroeconomic Models:** Investors should view AI/supply chain growth as a driver of *nominal* income and fiscal capacity rather

than traditional inflationary pressure, expecting nominal GDP data to be more volatile than real GDP indicators for Taiwan and Korea.

10. **Monitor Policy Divergence:** Watch the Bank of Korea's dovish-to-hawkish pivot closely as it sets a benchmark for East Asian rate hiking; avoid assuming Japan will move aggressively on rates if underlying inflation expectations remain sticky.
11. **Currency Strategy:** Consider currency strength in Korea (appreciating) and Taiwan (effectively weak due to growth/yield mismatch) against the backdrop of strong fiscal balance sheets. Be cautious with Yen exposure until 160-170 range volatility stabilizes, as BOJ intervention risks increasing with nominal GDP growth.
12. **China Specifics:** Maintain risk on domestic property market despite stabilization rhetoric; focus capital flow on government bond issuance and export-heavy sectors (automotive/tech) while watching M1/M2 ratios for credit tightening signals.
13. **Investment Research:** Subscribe to Paul KV's EastAsiaEcon.com for granular data and notes specifically covering China, Taiwan, Korea, and Japan macro dynamics, as standard market data lags the region's evolving economic reality.

Full Transcript

Welcome to the MacroHive Conversations podcast. I'm Bilal Hafiz, head of strategy at MacroHive. Before we dive in, a quick update. Following MacroHive's acquisition by the BGC Group, BGC has launched a new regulated business called MacroHive Markets. For the first time, onboarded clients can also access execution services via MacroHive Markets. This new workflow will allow macro institutional investors to benefit from strategy and quant insights, alongside access to global liquidity. Please contact Andrew Simon or Gail Mojibriyan

Bloomberg or click the link in the description below for more details on McRide markets and its service offering. Now on to this episode's guest. Paul KV. Paul is a China-focused Asia economist with 25 years of experience covering the region. He now lives in Taipei and runs East Asia Economics, a firm specializing in macro research on China, Japan, Korea and Taiwan. Previously, he was a macro strategist in the global bond team at Wellington Management. Before that, he was head of China Economics at Macquarie Securities. And before that, he was Chief China Economist at the Economist Intelligence Unit. Now on to our conversation. Greetings and welcome, Paul. It's fantastic to have you back on the podcast show. Great. Thanks very much for inviting me again.

Yeah. It's unusual that I get somebody back on the show within 12 months, but it tells you how important your part of the world that you cover is. Are you surprised? I mean, you've covered China, Taiwan, Korea, Japan for many, many years. And of course, China has always been a focus, but it's quite remarkable that all four countries that you focus, Korea, Taiwan, notably, but also Japan, they're really in focus now for global investors. Yeah. And I think in some ways... The smaller economies I mean obviously China is always sort of important to people because it's big but. It doesn't have the same cyclical impact that it did you know ten years ago say you know you remember when. You know the money supply growth numbers out with China were like one of the big macro indicators that everybody would look at.

And now it sort of emerges in sort of, you know, it's just not important in a cyclical way in the way that it was for like 10 or 15 years. Whereas I think at least in terms of market stuff and macro sort of dynamics, the stuff that's going on in Taiwan and Korea is just fascinating, right? Like I think there's market opportunities, but it's also just from a economic development, sort of economic history perspective. I mean, it's fascinating what's going on in these places. So there's both sort of market stuff and, you know, just intellectually and all of that. Like it's really interesting places, economy, economic stories. And then obviously Japan just sort of continues to warm up or, you know, things continue to develop. And so, yeah, so it's good, right? Like it's a good mix of places to be covering. I'm very fortunate in that sense. And where are you based these days? I'm in Taiwan.

Does it feel palpable when you're there, like located in Taiwan? Because on the outside, it just seems like there's this massive boom going on. So there's different perspectives on it. So I think if you just look out, you know, like I live in central Taipei, and like you look outside and like, you know, the building quality in Taiwan is terrible in general, right? Like it's improving in recent years, but you can look outside and people come here and say, you know, particularly 10 years ago, like it doesn't look like high tech, right? Like that's not the vibe that Taiwan has. That said, you know, particularly driving around, you see a lot more sort of expensive cars than you used to, right? There's a lot of horses around and so on. So I think there are elements of it, this sort of extraordinary growth over the course of the last two to three years and it is percolating down. And then it kind of, it would be one of my views, right? Like, I mean, people argue about this and say, you know, in Korea as well, like these semiconductor stories, they're very narrow.

they don't affect the whole economy and so on. And I think in both career and time, but for different reasons, that wouldn't be my view. I think there's definite reasons to think these are definitely macro phenomenon and they do filter down to the broader economy. So yeah. Yeah, that sounds interesting. And so maybe we can start with kind of the big headline, which is this AI boom that's going on. And I mean, how does that express itself across China, Korea, Taiwan, Japan? I mean, what differentiation is there between the four of them, say? And how do you view that? I mean, first of

all, is it acceptable to say AI is like a global story and then it manifests itself on each of these countries through their supply chain impact? And what's the framework we should use when we think about this? The starting point is all of these economies, all of these four economies are just key players in the supply chain for the tech that goes into AI that is being consumed in the rest of the world. And obviously, if you take the extreme example, it would be Taiwan, where semiconductors and the broader AI supply chain, so things like servers and all the other stuff that gets produced here, I mean, it's now counting for 60 or 70% of exports. So, I mean, it's like a huge part of what's going on here. And if you look at industrial production in Taiwan, It's not actually all semiconductors. A lot of it is the other AI stuff. But it's all basically that story. Now, if you look at Korea as a different example, semiconductor exports are now around, say, 20% or probably even higher than that now of total exports in Korea. Obviously, a much smaller proportion than it is in Taiwan. And there isn't the same sort of other stuff that's going on. I mean, there's some beneficiaries in sort of like some of the metals industries and machinery. But you know, obviously Korea has a much more diversified export base. So that's one difference. And the other difference between Taiwan and Korea in particular is Taiwan, it's a volume story. So it's growth in real GDP, which has been extraordinarily high right in double digits that again, which is I think why, you know, if you see how think about how rich Taiwan is an economy.

And then you have these growth rates since 2024 where double real GDP growth. I mean, it is extraordinary for any economy to be seeing this. Whereas Korea is all equally extraordinary, but it's because of prices, not volumes. And so if you look probably in the third quarter of this year, nominal GDP growth in Korea will be 30% year on year. Real GDP is about 4%. it isn't inflation right like the difference between those two is the terms of trade and export prices and net exports and so that is you know it's this huge you have to go back to the work by shock of the early 1970s to find a commodity price boom which is similar to the one that's playing out in Korea at the moment so there's a price story a national income story which plays out in Korea a bit differently to Taiwan and then you've got Japan and China where you know obviously they have a much more diversified economies even than Korea.

China has a ton of other stuff going on, which is important for macro, like the continuing collapse of property, the weakness of consumption and so on. AI is most important in Korea, in Taiwan, in China, get my countries right, because it's paying out on the export side. So, you know, semiconductor exports are growing 100% year on year in China, growing more quickly than imports, which, you know, you would think at some point it's going to become a big issue for the global economy, not quite yet, but at some point. And then if you look at the breakdown of profitability in China for the first time, there has been a movement in aggregate profits over the course of the last four years or so. And it's all because of tech and all because of AI. So there's some significance there. But it's really a kind of a sectoral story rather than a macro cyclical upturn. And then thinking about Japan, finally, Japan isn't nearly as big a beneficiary of these other economies in terms of having the weight of sort of AI related hardware production. But it does have some.

And the significance I think is twofold that we can see in the data over the course of the last six months. So if you think about what's happened with Japan's economy since 2022. until this year it's all been about non manufacturing and services right like it's been that that's led the cycle unusually in japan but it's been much more about a domestic demand side story whereas over the course of our six months the thing that's changed is manufacturing sentiment and manufacturing indicators have suddenly started to look much more much perkier and again that really relates to the AI stuff so you've got like uh it's not as dramatic and impact as it is in the rest of the region but in an economy where the man on manufacturing was already doing well. That manufacturing now catching up is important and that gets back to something which is common across Japan Taiwan and Korea which is this nominal growth in the economy that this helps to achieve because this is you know.

is very profitable, profits are going up across the region. And so in addition to having very strong rates of nominal growth, you're also having very strong rates of fiscal revenue growth. And so it's important for understanding the fiscal debate in Japan. Because if you look at I think today, the data or the data released for yesterday, so far through this fiscal year, you're seeing double digit growth in revenue in Japan for the

government. And so, you know, when people look at Japan and say, you know, the government's announcing is aggressive. budgetary increases. I mean, yes, but it does have revenue in a sense that it didn't before, right? Like with an economy where it didn't grow in nominal turns for years and years, there's not much money to go around. But suddenly, Japan's in a situation where there is actually some fiscal revenue growth. And so that informs should be informing, I think, how investors think about, you know, Japan's fiscal dynamics as well. So I think all this AI stuff and the way it feeds into nominal growth.

like it's really important and sort of, yeah, dominates what's going on in these economies right now. OK. I mean, there's so much to unpack there. So let's start with Taiwan. And so you said it's a volume game, this incredible real growth that we're seeing for an advanced economy, which is unusual from a historic perspective. So what does that mean from a policy perspective then? How do they manage interest rates then? How do they think about the cycle? It doesn't apply to the other economies as well. To some extent, it's kind of like a term of trade productivity shock is it or how to think about it? So, answer your second question first. I think it is a productivity shock in Taiwan much more so than in terms of trade shock. There's a bit of a terms of trade shock, right? So, you know, electronics prices from Taiwan are rising for the first time in a generation, and that matters for the rest of the world. And we can see it, you know, again, in downstream computer prices like CPI today from Korea.

CPI for computers is rising by more than 20% year on year. It's never been above 10 before when usually it's zero or less. So this kind of cost push element, it's not just because of energy, it's because of semiconductors that they're benefiting from the sales, but they're also seeing the inflation domestically that comes from this because of all these electronics prices are going up, which is an important issue for the rest of the world as well. But in Taiwan, it's much more of this Productivity story leading to real GDP growth being so strong now Korea is different we can come on to that But thinking about how on the interesting I mean, you know, it's interesting that growth is so strong and so on for a rich economy It's also interesting that there's just no policy response at all So you know and I mean think it is fascinating. So, you know the central bank hasn't raised interest rates since

2024 despite the fact that nominal GDP growth is running at very strong double-digit levels. And if you look at the... I mean, Taiwan's always a bit wacky in terms of the financial side. But right now, even by Taiwanese terms, it is quite wacky because basically the entire yield curve is below inflation. So, you know, the policy rate is 2%. The 10-year yield is about 2%. Inflation is a bit over 2%.

And even, again, by Taiwan standards, it's unusual. So before 2020, there used to be a positive yield curve. Well, rates were never particularly high because there never was any inflation. But you did have real rates. And now interest rates are negative across the curve in real terms. And yet the CBC at its most recent monetary policy meeting argue that policy is leaning tight. It's quite interesting. How do they sweat that circle? I mean, how do they justify that? Well, so the argument is that money supply growth is much less than the addition of money supply growth is below GDP growth, essentially. That's the argument. Now, that's fine, right? That's kind of interesting. The two weaknesses as far as I see with the argument is one that one of the reasons money supply growth has been slowing down a bit is because of the foreign asset component. Actually, when you look at lending growth domestically, it's speeding up.

So total private credit growth in Taiwan is as strong as it's been in many years, which isn't I think what you would expect. So that's one thing. The second thing which I think is interesting is in the argument, you know, they present all of these nice, you know, like demand supply curves, money supply and demand and so on. And obviously, the implication and they explicitly draw this out is that, well, you know, because money supply growth is quite tight and demand is strong, well, interest rates are rising. So if you look at market rates in Taiwan, they have gone up over the course of the last six months. But again, they're still negative in real terms. So I think if you're arguing that policy is tight or sort of leaning tight or whatever the phrase that they use, it's not a very, at least to my mind. It's not a very persuasive justification when the fact is they're still below inflation in real terms. What's wage growth like in Taiwan? I mean, is there real wage growth happening or is it negative?

Yeah, this is it's a very important point. I think so again if you go back and think about how I'm for 2020 there was zero inflation like it was the economy that looked most similar to Japan right like so nothing changed no wage inflation no price inflation no interest rate hikes Nothing, but now unemployment is at the lowest since in 25 years and wage growth is basically the highest it's been in 25 years now it is around 3-ish percent, something like that, but continuing to pick up. And so I think that is the interesting element. And so as Mark Chas in Taiwan, that the tech side, and we come back to kind of like the size of the tech sector, but it's a product, you know, you can Clearly, TSMC and these semiconductor firms are hugely productive and, you know, like this is capital intensive stuff, right? They don't employ a huge number of people, but the impact on the economy is twofold. One, and I think it's this kind of Balassa Samuelson effect, right? That you have these very productive industries, but particularly in Taiwan, because the participation rate isn't increasing while the population is aging, the supply of labor is limited.

And so you have all of these less productive firms in the services sector competing for the same workers. And so I think it's not surprising that wage growth is picking up. And in Taiwan, unlike, say, Korea, the tech sector accounts for, like, 10% of employment, right, if you include semiconductors and all the other stuff. It's not a particularly small sector, even in terms of employment, right? Now, in Korea, it's about 1%. So it's very different. But in Taiwan, it's a much bigger part of the economy. So from the CBC's point of view, from the policymaking point of view, You can certainly argue there's no sign that the economy is really overheating, right? Inflation is still only 2-ish percent a bit over that. It's not like, you know, there's huge signs that it's out of control. But I think there is very strong evidence that the economy is warming up. And the longer that this AI stuff sustains, the more likely it is that inflation continues to go up. I think particularly given that interest rates are negative in real terms.

I mean, is it that there's nicks of real rates? Are they manifesting an asset market somehow or not? Well, you know, equities are being very strong, obviously. You know, property, there was a lot of macro potential stuff on property, which killed the market. And sort of one of the things that CBC that did is recent policy meeting was actually lose some policy towards

property. which seems a bit of a brave thing to do, given where real interest rates are. So, yeah, I think it is manifesting in that and lending growth. And again, this sort of general warming up of the economy. And I suspect, I mean, that one of the reasons that interest rates haven't moved, I mean, it could be the politics, people talk about this as elections here in November. But the other thing is, you know, the currency, right? Like so the currency has been like stable against the dollar for 30 years.

it gets more complicated if you need to tighten interest rates to manage the currency still. And I think that's probably one of the things that delays tightening even though the economy looks very strong at the moment. So essentially the currency is relatively strong and the fear then would be if they raise interest rates it could accelerate in some way. No. So the currency is weak. Okay. So again, the easy way to think about Taiwan is you have this extraordinary growth and the currency hasn't changed and interest rates haven't changed. Like nothing has changed essentially. So the currency has been around like between basically trades between 28 and 33 to the US dollar for the course of the last 30 years. Right now it's exactly in the middle of that.

even though the current account servers has gone to like 25% of GDP. The trade servers with the US is 25% of GDP. GDP growth is 15, like all of this stuff, right? I mean, when I said it was relatively what I meant was, if you look at, say, dollar yen, it's way higher levels or, you know, euro, you know, generally falling and... Yeah, so it didn't sell off in the way that the one did or hasn't followed the yen. That's true. But in real effective terms, relative to the growth and productivity and all of that, it's very weak. And actually, even this applies to the career as well. But in a usual cycle, even in a usual cycle in Taiwan where the export sector gets better and lifts the whole economy, you tend to see the Taiwan dollar appreciating to the top of that bag to 28 or something. And this time, nothing, even that hasn't happened. And one last point on this.

If you look at the comparison right now between Korea and Taiwan, so in Korea, the currency has been appreciating at least over the course of the last couple of months or so. Again, remains very cheap in many ways, but it has been appreciating. The BOK has increased interest rates. When you look at

pipeline inflationary pressure between Korea and Taiwan, Korea, it's continuing to fall. In Taiwan, actually, over the course of the last couple of months, it started to rebound once again, because I think the cycle is strong. P-pay inflation is very high. And there's nothing that's standing in the way of that moment. You know, with Taiwan, we often hear about the outflows, life or outflows and, you know, pension outflows and all those sorts of things. I mean, is that still happening or not? Oh, yeah, yeah. It's the flip side of.

Having a yeah definition that have to be a huge outflow and the currency is moving and so yeah, so it's a bit more on the corporate side now a bit partly FDI and partly sort of other flows of the Attributed to the corporate sector. It's a bit less obviously being driven by life as a loan But you know they changed the hedging ratio to allow life is to continue to invest a bit more overseas and again It's this framework. I mean that and this has worked right for 30 years. It's all been stable. There's no inflation It's fine. I think that things are changing. But again, to your point about the policy reaction, it doesn't seem that that's not the consensus view.

When I was in Taiwan, and this probably applies to all the East Asian economies, what about the energy shock? I mean, we were told, you know, when the whole, you know, U.S. Israel, Iran thing kicked off straight from musics clothes. Most of the energy goes towards Asia. Asia will be hardest. Yeah, they seem to be somehow managing. I mean, we were told there's a quantity issue. You know, they'll actually be a sort of a shortage, a genuine shortage, you know, but like they seem to be humming, you know, the economy. So how do you look at the energy side of things? So, yeah, I mean, it doesn't seem to be any evidence here that it's had any impact at all. And, you know, the subsidies for energy use aren't as egregious here as they are in Japan. So there has been some increase in pump prices, for example, but still inflation has been held down. It looks like, you know, presumably They're sort of paying up for supplies globally. I mean, maybe that's less intense now, but sending the beginning like to get lng because, you know, there were real fears that there was going to be a proper shortage that hasn't manifested. And, you know, come back to the point about nominal GDP growth and fiscal revenues. You know, fiscal revenue is, you know, growth

in revenues is extremely strong so they can sort of afford these subsidies for the household sector.

because they've got so much money coming in the door from just how growth normal growth is. They don't need to raise taxes. There's just a lot of money around. That's one example. If you think about Korea, all of these economies doing similar things, trying to keep prices down and using subsidies to the state sector and refiners and so on. But if you think about Japan as being the clearest, the central bank that clearly, most clearly explains the narrative of an energy price shock, which is through the terms of trade. There's negative terms of trade shock. You're going to see money leaving the economy essentially, and that's going to weigh on growth. So that was the BOJ's base case six months ago. But if you think about somewhere like Korea, that clearly hasn't happened at all. In fact, you've seen this huge terms of trade positive shock. And obviously, the reason is because semiconductor prices have gone up so much.

that barring a physical shortage of energy. But just dealing with the price side, it's not exactly water of a duck's back, but it certainly doesn't show up in any of the macro data at all. Because on the other side, the export price is just so enormous. So this is, again, think about Taiwan TSMC foundry. It isn't a cyclical industry in general. There might be a super cycle now, but it's there's not huge swings in prices. In career, there's a huge swing in prices in memory. And again, like 200% year on year increase in one of your biggest export prices, like that covers up a lot of sins on the import price side. And so there isn't that negative terms of trade shock. In fact, it's exactly the reverse of that.

And so now that we're talking about Korea, so clearly it's more for the trade story in Korea rather than volume stories with Taiwan. And the policy response, we've had the Bank of Korea hiking. The currency has strengthened. Actually, the Korean one has been much more cyclical when there's been risk off or tech worries than Korean one suffers. And now in recent months, it's done very well. So there seems to be it's more of a cyclical play in many ways. And so is that how policy makers view things as well? Yeah, I think, you know, in the new central, the new governor of the BOK has been very direct. I think in the way he speaks about things that

essentially, you know, I think historically in Korea, you know, as justifiably the thing to be looking for for the BOK's reaction function is inflation and GDP, real GDP growth, right? Like, you know, what's going on in inflation, what's going on in terms of activity? And I think the complicating factor or at least something that People looking at career macro should be having in mind is this enormous growth in nominal GBP and nominal incomes, right? So this is this positive terms of trade shop that career is is achieving is the thing that's allowing income growth to be 25% year on year or 30% year on year and so.

And I think the governor has talked about that, right? So they've been highlighting this as a phenomena that Korea now faces. Now, that's one aspect of it. The other aspect is, you know, they said very clearly that inflation is rising. We need to be pre-emptive. So there would be like rare back-to-back increases in the policy rate in Korea over the course of the next six months in terms of their new dot plot. And so, you know, I think like not just this governor, but the previous governor, the kind of the research, the discussion around the BOK is becoming increasingly sophisticated and increasingly useful to be watching and reading to learn about what's happening with the economy and how that relates to the rest of the world. But in terms of the dot plot that they've now released for interest rates, they've still basically saying there's only one more increase over the course of the next six months, which may be true. And I think it basically depends on two things. One, how much does the one continue to appreciate? Because, I mean, again, career like Taiwan, but more so. I mean, there's never been a current accounts a trade surplus above 10% of GDP. That was rare when that happened. Now it's 26% of GDP and still going up basically vertically, right? So, and I think it's how long does this. So, I mean, rates particularly yields rather than the BOK policy rate, but yields has somewhat reacted to this new macro situation. But the currency really hasn't changed that much at all relative to how big these change in the economy are. So one thing is how much does the one change from here? But the second thing is, and I think this is again, sort of interesting from people looking at career macro, is how sustainable is this shock? Like, is it something that is going to die down in their course of the next six months? Or is it something that is going to be sustained? And I think the significance of this sort of is in two ways. The one you know, we're all macro people,

right? Like looking at, you know, interest rates and inflation and growth and all of that. But this is, it's a semiconductor technology issue. And I don't think I'm not qualified to know when this is going to end. You know, I mean, we're going to be looking at Amazon share price or whatever it might be to give an early indication. But it's really about the tech people can have a much better idea about how sustainable this cycle is.

the macro people are going to be sort of reacting to that. And I'm not sure there's sort of a gap in capabilities, I think, in doing that. But I suspect, I mean, if this is sustained, if you think about nominal growth of 25% to 30%, it's going to slow down next year, of course. But usually you would expect kind of a bigger increase in yields than we've seen so far. But I think the market needs to get some... disparity will have some sense of confidence about where this thing goes next year and not just where it is today. So, yeah, it's kind of this normal. I mean, given that level of nominal GDP growth, given the terms of trade shock, and this also applies to Taiwan as well, I mean, shouldn't the central bank be comfortable with dollar-career trading below a thousand? Because it's not as if it's outlined with underlying fundamentals. Yeah. And I think, you know, this is the difference between Taiwan and Korea in terms of policy. They said very explicitly that they're happy with they want I mean, not below a thousand, perhaps, but, you know, like they said, they were very unhappy with the one when it was very, when it was weak and selling off. They're very happy that the currency starts to appreciate that this is part of the monetary policy reaction function in terms of reducing inflationary risk. This is all good. Now, again, Korea more so than Taiwan, although, you know, this would be on the minds of policymakers here as well. But it's like, so what about the rest of the economy? Right. Like semiconductor sector, like you can probably with it, you know, you can live with the one at 500 probably. But the rest of the economy, the auto sector, struggling with exports from competition from China, they're going to be complaining like hell as that happens. So at some point it's going to run into some of those domestic obstacles, but 1350 for career one is still not.

expensive relative to all of these macro changes happening in the economy would be my view. And so if we go on to Japan, I mean, you mentioned that normal GDP growth is so high. And so as a result, the tax take, the tax

growth is high. So behind that implies we don't need to worry about the fiscal story in Japan. Is that fair? Or am I reading too much into your into your yeah, it's probably a bit strong. But so I think there's sort of two levels to it that I think a lot of the panic over fiscal over the course of the last 18 months is overdone in terms of the evidence that we have so far. And I think one way of illustrating that is if you look at the sort of the three fiscal events, if you like, that we've had from the Takahiti government, so two supplementary budgets and one main budget so far, none of them on their official projections have changed this trajectory of a narrowing fiscal deficit at the central government level.

the government. So in a sense, and I'll come on and undermine my own argument in a minute. But in a sense, what we've had is it's a bit like Abenomics, where, you know, Abenomics was these three things like monetizing fiscal easing and structural reform. Like there was no fiscal easing under Abbey, right? Like it was they raised the sales tax. I mean, there was in 2020, as everywhere else, but the general picture was, you know, it's one of the few economies where tax not just because the nominal cycle was better, but because tax base widened as a percentage of GDP. And I think also importantly in Japan, the revenue side had been better because they increased taxes. Obviously, that's a tightening. But on the other thing that is fascinating in Japan is the general way of thinking about aging societies is they're going to have to spend a lot more because social welfare spending is going to go up.

In Japan, that hasn't happened for 10 years essentially, that social spending as a percentage GDP has basically been stable for 10 years or so now, even though the population is aging more quickly now than it was 10 years ago. And one of the reasons this is the case is because the government is willing to cut pensions in real terms. And so obviously all the debate in the UK about this sort of triple lock sort of stuff. I mean, in Japan like is so it's not about keeping up with inflation or anything else. I mean, they're deliberately cutting pensions in real terms. So from a macro perspective, when we look at wages, we're all aware that wages have fallen in real terms, but pensions have fallen more in real terms in Japan than the wages have over the course of the last 10 years. So what does that mean? The fiscal side is in a better position than I think a lot of the market realizes. That is not to

say that somehow they can spend tons of money doing all these corporate investment stuff, which seems to be the plan. And so I said there's been three fiscal events so far. There's going to be a fourth with the next budget, which could well blow things out of the water, given the way the government talks about things at the moment. But there's also a macro cost to this that the fiscal constraint that has been apparent over the last 10 years or so, the big victim of this from an aggregate perspective is the household sector, because pensions are being cut in real terms and the sales tax hits the consumer sector, the household sector disproportionately hard. So if you think about some of the doves that are now coming on the BOJ board from Takahichi's appointments, one of the arguments is, well, aggregate demand growth is weak. Well, why is aggregate demand growth in weak in Japan? The population is shrinking and of that population that's shrinking incomes are coming down in real term partly because of the fiscal policy. So there is at the same time as corporate profits.

Going back to the nominal GDP growth story, corporate profits are going through the roof, right? They've never been higher as a percentage GDP. They're not spending that money in terms of wages and investment, but they're super profitable. So you've got this very sort of distorted economy in many ways, that the fiscal side is still vulnerable, but there have been improvements. But to the extent there have been improvements in the fiscal side, the big victim of that I think is the household sector. And therefore consumption isn't particularly strong. And so you mentioned BOJ. Many view BOJ as being behind the curve, and every time you think they're going to move ahead of the curve, they pull something out of their head and they don't. So each time they kind of lurch back and there was the currency intervention with the support from the US and there seemed to be some kind of implicit agreement that the BOJ would be more hawkish to support intervention, but it all fizzled out. So how do you think about BOJ FX policy and this kind of dubbish tilt they now have? Yeah. So I think one way of framing the BOJ is to think about the policy hikes that have happened since 2024. And the sequencing is essentially hype shock, hype shock, hype shock, right? So 2024.

increase for the first time. And then the yen suddenly appreciates a bunch, right? So that was the first thing. So if you read the kind of the rhetoric of

the BOJ into 2024 into the July meeting, they're becoming increasingly positive. That's like, it's getting better. Like, blah, blah, blah, blah. It looked like, you know, something was changing. And then as soon as that happened, then, you know, in August, it was all like, oh, you know, we better be careful, like, you know, all of that. And then they get around to hiking again in 2025. And then what happens is Liberation Day and the tariffs go up and it's like the corporate sector is going to be, you know, in a mess.

And again, so nothing happens until 2026. Height rates again. And then the Iraq around war happens. And again, oil prices, negative terms of trade shot, bloody blast. And obviously the BJ has been very cautious. It hasn't moved aggressively. But I think there is some context for understanding that if you think about it in this way. Now, what does that mean for today? Well, as I said, I think it looks like the cycle has been gaining momentum because of the manufacturing side that hasn't really played a role until now has been looking much better over the course of the last six months or so. All of the inflation indicators look very strong in the second half of this year, and the BOJ has said that itself that inflation is going to be going up. And the end remains weak. So I think it's still a very high bar to be thinking about 50 basis point increases in rates or back to that.

increases when you know it has clearly been causes until now but I think it does make sense to think. one every quarter rather than you know one every six months. I mean when I think like Japan what sort of strikes me as as kind of a regime change is that for so many years we thought Japan is a zero inflation economy and so we always thought okay it's okay for BOJ to have policy rates plus or minus zero. Now Japan seems to be like a normal economy so to speak around inflation it's around two percent ish or higher you know like Europe like the US like everywhere else so either policy rates should be like every other.

DM country, like three, four percent. And so in that context, BJJ seems way behind the curve. And, you know, the market kind of, at least if you look at the long end of the JDB curve seems to be saying that. Yeah. There might be a bit of a fiscal element within there as well, maybe. But like the market seems to be saying like Japan is normal now, so to speak. And so doesn't

that mean that the BJJ is on borrowed time if they don't meet? that expectation? Well, so I think one other aspect of that, being behind the curve and so on, and something that has become more apparent in the BOJ stuff in the last 12 months, is all of this focus on monetary conditions and basically bank lending. Bank lending is very strong, therefore there's no tightening. And that's become a clear theme. And so, yeah, I think there's something to that, whether the BOJ given that how quick is in real, I mean, what has changed in Japan is not, yeah, come back to this point about nominal growth, like what has changed is nominal growth, real growth hasn't accelerated at all, maybe one reason because consumption isn't growing and corpus avid is always money and not investing enough. So potential growth is still around zero, so 2% inflation wears neutral, right? So you can understand, I think all of that. But yeah, I think the market has been saying that the DOJs behind the curve need to do more.

I just think it's probably the current, you know, on the other side of people starting to think that something, you know, 50 basis points or back-to-back likes, it just seems, it's just... It's just not their style, you know? It's not their style and it's also been this explicit thing, we're trying to avoid that, right? Like in all of this, like, kind of this nurturing this... exit from deflation and making sure you don't mess it up again as a lot of people argue the BJ is done in the past. And therefore avoiding explicitly saying we need to avoid aggressive rate hike from these things. That's kind of been the story. So yeah, the threshold for becoming as aggressive as some in the market one, I think is still very high. And then on the currency, you know, obviously, there's the kind of a psychological thing about 160 and those intervention and so on. But like what's wrong with having a weak currency? Surely it's good for Japan to have a weak currency, you know, the exporters and so on. Why this sort of intervention at these levels? I mean, some level, I kind of think, you know, if the move to 165, if it's slow, a grind higher to 170, I mean, already 160 is incredibly high. Nobody would have said this years ago.

yet the world hasn't ended for Japan. And so what's the pressure point around this? Or is this just the volatility story? Well, so I think, you know, there clearly are people around the government who try to say, I mean, the market reaction sort of puts them off, it seems, but they try to say that

weekend is good for Japan, right? Like, you know, even at these levels, it's good. And now that's becoming less heard these days. And I think maybe one way of framing it is, again, think about the BOJ. So the BOJ in April, after the round war, they had this risk scenario that they outlined for inflation. And that was oil at 105, the yen depreciating another 10% and stock prices falling 20% right now. So obviously, stock prices was the negative economic impact, which hasn't happened. Now, what do they say that that means? You get to a situation where inflation in the next two years will be above 3%.

and medium term inflation expectations are likely to rise and so i think there is this as much as. You know we can definitely argue in debate about how high underlying inflation is in japan but the headline rates you know if you think about what since twenty twenty two i think. If you like the. BOJ is issuing this series now for inflation excluding all the subsidies the government's given out. So if you look at that and treat that as a measure of core, inflation has been above the BOJ's target now for like 52 of the last 55 months. Basically, since 2022, it's been consistently above target. If you look at the BOJ's forecaster in that time, the BOJ consistently forecast that inflation is going to fall. So it's both above target and wrong that it's coming down. And I think the thing about 160 given, you know, everything else in the economy and particularly the AI side and the reacceleration of growth. So it just starts to become like this is you're really testing your faith in underlying inflation remaining sticky forever. Like it starts to look like this is just, you know, it's really starting to influence inflation expectations. And I think that is the BOJ view, whether that's the government's view, is, you know, as we know, in all of the debates, sometimes it might be and sometimes it's not, it seems, which is part of the reasons why there's no real, you know, the end doesn't move directionally at the moment. Yeah. And now let's round off with China. You know, you kind of said earlier, there's the tech story, which seems to be boy and doing well. And then the other side is the domestic.

the rest of the domestic economy and particular property. Now, of course, we have the active measures to deflate the property bubble number of years ago. There were some tentative signs. Things were stabilizing. I think the last time we spoke. But where are we on property now? Yeah, I mean, so

that would have been my view. And I think from a big macro point of view, you can look at properties starts are falling less quickly than they were. And M1 is falling less quickly relative to M2 than it was. And these two things have been going on for, these look to me like these are the manifestations of the fall in the property market feeding into the economy. So the pace of decline is less. Now that said, property starts now down 85% from the peak. This is sort of extraordinary. And actually this year, the pace of declines has picked up again. It's not as sharp as it was in 2024, but it's actually faster.

On current rates, there will be zero property starts in China in two years' time. Now, presumably, that's not feasible. There's always going to be some replacement, and somebody's going to be building something. And you would think. So the argument for sort of stabilization is you're getting closer to the end of this fallout than before. But it's not very convincing that. You know, the floor in this still doesn't. Yes, there's nothing that looks very solid at all. Property markets still looks extremely weak. Sales haven't started to rise. What do you make of the recent announcement, you know, where they have this, you know, I guess you could call it like targeted credit easing for a subset, maybe like tier two, tier three city property mortgages. You know, I don't have what to call it exactly, but it seemed like that's what it is. So I think it keeps.

the existing policy reaction function is consistent with the existing policy reaction function, which is incremental, don't change direction, try to prevent some of the nastiness, if you like, but without doing anything that provokes a new direction. And I think property is one thing. But if you think about sort of the other things that people worry about in the economy at the moment, so one is the credit impulses slow down a lot, like has fallen a lot in the last 12 months. And the second thing is retail sales are falling. Like in absolute terms, it's been very weak. Now, from a government perspective, if you just think about data, how do you fix that? Well, all of the fall in the credit impulse is government bond issuance. Like it's all CGB issuance. And so if you look at the credit impulse excluding government bonds, it's actually pretty stable. The flow of credit to everything excluding the government sector and the corporate sector, government sector in sort of official terms.

not all the SOEs but so the flow of credit to everything excluding the central government and the household sector is basically up a bit so the credit impulse for the for some bits of the economy looks like it's still fine and the reason that retail sales growth is weak is essentially the auto sector. I mean it's not like outside of autos that things are particularly perky but the kind of the drop that's happening in retail sales the last year or so is specifically because of autos so But they're still exporting a huge amount of cars, though. Oh, yeah, yeah. Domestic auto is probably fine, you know, because they've got a huge international market. Yeah. So I think there's two things. So one, the point I was sort of was going to make was if you're an incrementally minded policymaker, what do you do? Well, you do something incrementally to boost car demand domestically, and you start to wish more bonds.

And then suddenly some of these macro indicators, which the market looks at, look fine. Because if you look at the other thing, which probably is the single most important indicator for the government, is the industrial production is basically 5%. Now, it's not everything. You still need the services sector to be growing. But you have this huge, that's the anchor, the spine for the whole economy. And so if IP is around 5%, you're probably not thinking the economy is in too much difficulty. But there's obviously a cost to that to the rest of the world because one of the things is, you know, these autos, I mean, your auto numbers are extraordinary how quickly China has become this auto exporter and how quickly exports have been growing in the last 12 months. And the market share global market share gains in volume terms, I mean, they're not that far short of like, you know, when China was joining the WTO in the period after that, even though it's obviously like a much you know, the base effect is much bigger than it was back then. So the export numbers are extraordinary. And on the tech side, sort of the outside is view is that China is like all in on creating its own kind of sovereign tech stack, own AI, try to be as sort of independent of anyone as possible and then exporting their tech to the rest of the world. And so all policies geared in that direction. So that sector should continue to grow well.

you know, is that a fair capitalization? I think so, yeah. And again, you know, we can see, you know, for example, semiconductors, right? So I

mean, a lot of it, you know, there's prices, there's huge swings in prices, but semiconductors exports are now going decently above semiconductor imports. That's, I think, a significant shift. There was this thing, I can remember it was like a year ago, where everybody was talking about the hyper-competitiveness of China, the Chinese private sector, that they were kind of not allowing companies to be profitable because they just compete each other out of any profit margins. Is that sort of general concern still there? Does it apply to the tech sector? Are the authorities concerned about that?

I mean, the authorities clearly are concerned in the sense of all of that talk a bit ago about involution and, you know, excessive competition and prices coming down. But it's I at least find it difficult to find evidence that anything has really changed. I mean, if you take like auto margins, right, like in the auto sector or output prices in the auto sector, they continue to fall as quickly as they were last year. And again, if you think about it's not are perfect indicator by any means. But if you think about that flow of money outside of government and a household sector still remaining basically strong, it doesn't suggest that credit has been cut off to the corporate sector. So I mean, there is this whole debate in China about the fixed asset investment numbers, which has suddenly fallen off a cliff over the course of the last 18 months. So that's kind of exhibit number one for thinking that something really has changed. But if you look at, again, the credit side, if you look at imports of machinery, Like none of it is changed. There's no dislocation in any of these data in the way that there is in the FAI numbers. So I'm not convinced that there's been any change at all yet. Maybe it's going to happen, but I don't see any evidence of it so far.

And in terms of markets, I think there's been two interesting things. One has been dollar China just has been grinding lower and the authorities seem pretty happy with allowing that to happen. Even when you've had about a dollar strength, they haven't kind of participated in that. And then the other side is the CGB yields have just been. going down, pretty much the only major market in the world where that's been the case is like a real big divergent. So what's your take on both of those? So what would be a framework for thinking about the currency apart from just like it's what the government wants? But if you think that's what it was like, you know, like

to December, markets play a role in this. And certainly market narratives. That's three years ago, right? The narrative was differential monetary policy. So the Fed is like in China is not.

and China's cutting and therefore the currency should be weaker and that was kind of part of the the kind of the language around like thinking about what's happening and now I mean obviously as we've talked about yields are coming are continuing to fall in China but there hasn't really been any monetary policy easing I mean certainly the pace of monetary policy easing has slowed a lot right so sort of from May at least until this latest PSL interest rate cut But from May last year until now, there basically hasn't been a cut in policy rates in China. Now, what fits with that? PPI inflation, certainly month-on-month, and much more clearly year-on-year, has been rising in that time. So I think you can at least, you know, if you want something to back up the government, sort of, we just decide what's going on in terms of the currency. But at least in terms of the market narrative and that, that's one of the reasons why the currency has been strengthening is because as much as it's all externally driven inflation, the deflation hit to China has lessened over the course of last 12 to 18 months. Now, obviously, yields are still falling. And that's because the economy remains weak and savings are very high and so on. So it's not like this is a particularly coherent view. And I think, again, given policy remains very incrementally minded. It's very difficult to think of a good reason why yields in China are suddenly going to start to rise again. I mean, they're probably too low relative to a bunch of things. But is there going to be a great change in the direction of the CGB market over the course of the next 12 months based on current policy settings? Probably not.

I mean, CGBs, ironically, could be the one safe haven. So it could be the one sovereign bond that actually is the place to be in a storm of bonds selling off around the world. Well, yes. And I think if you come back again to the sort of some of the points we started to begin with, leading out Japan now, but, you know, think about government balance sheets. You think about Taiwan as an example, right? Like government debt. it's now projected to be less than 20% of GDP by the end of next year. And you think about career where you have growth of nominal growth of 30%. The difference this makes to all of these macro indicators of anything as a

percentage GDP, it's enormous, right? M2 as an example. So all of these things are sort of collapsing. And if you think about, sort of, again, you have to leave out a couple of huge risks when, huge issues when doing this. So, It's a bit laughable. So you've got the effect of China, obviously, and you've got capital controls in Taiwan. But if you think about everything else in Taiwan, like current account surplus, what's happening with growth, what's happening with the government's balance sheet, there's a fiscal surplus. They say they're going to spend all of that money next year, but they're still only running a balanced budget. Even though expenditure growth next year is projected to rise 30%, they still end up with a balanced budget. Debt levels are falling.

Sort of a sovereign debt point of view, a government balance sheet. There's basically very few places in the world that are better than Taiwan, which presumably should have some relevance to currency in the markets, even though it hasn't yet. Yeah. Yeah. And that's fantastic. I mean, we've covered a huge amount of ground. So let's wrap it up there. Final question for you is if people wanted to follow your work, what's the best way for them to do that, Paul? So look at my website, EastAzureEcon.com. It's probably the best way. And I'll include a link to the site as well. And I do urge everyone to subscribe to it. It's one of the best notes I find services out there for that region. So once again, thanks, Paul, and keep up the good work. And I'm sure we'll be speaking soon again.

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